

challenge us. We (mostly) cannot foretell the impact of true innovation. Then once it's a wild success, we have a hard time recalling how life was before that product existed.

The Apple Store was clearly one of those game-changers: By 2020, Apple had opened over 500 stores in 25 countries. They are among top-tier retailers, and the fastest ever to reach a billion dollars per year in sales. They did more in sales per square foot in 2012 than any other retailer.⁹² By 2017, they were generating \$5,546 per square foot in revenues, twice the dollar amount of Tiffany's, their closest competitor.⁹³ Apple no longer breaks out the specifics of its stores in its quarterly reports, but estimates of store revenue is about \$2.4 billion *per month*.

That guy who wrote, "Sorry, Steve: Here's Why Apple Stores Won't Work," I wonder what the rest of his portfolio looks like...

Finance seems to encourage this kind of future forecasting. We are bad at this, because we often lack awareness of what we do and do not know about the limits of our expertise; we do not truly understand the present, let alone the future. We often wishfully predict what we *want* to be true, rather than what will come to be.

We look at the Dunning-Kruger effect later, but the key takeaway is most of us are not very good at *metacognition*—estimating our own skill sets. Learning what we do and don't know—working within our capabilities—that's challenging enough, without other people's bad forecasts in our heads.



If you think the Apple Store cover story was bad, just wait until you see what the media had to say about BlackBerry...

⁸⁹ Cliff Edwards, "Commentary: Sorry, Steve: Here's Why Apple Stores Won't Work," *BusinessWeek* (May 21, 2001).

⁹⁰ Nearly a decade and a half later, those naysayers were recounted here: Ana Swanson, "How the Apple store took over the world," *The Washington Post* (July 21, 2015).